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Charter Hall Retail REIT

21 December 2010

Charter Hall Retail Management Limited
ABN 46 069 709 468
AFS Licence No. 246996
Responsible entity of
Charter Hall Retail REIT

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Luxmy Wigneswaran
Advisor, Issuers (Sydney)
ASX Limited
Exchange Centre
20 Bridge Street
SYDNEY NSW 2000

Dear Ms Wigneswaran

Security Trading Policy

In accordance with the new Listing Rule 12.9, please find attached a copy of Charter Hall Retail REIT's (ASX: CQR) Security Trading Policy.

Please do not hesitate to contact the undersigned if you require further information.

Yours faithfully

Douglas Hunt
Company Secretary

Charter Hall Group

Charter Hall Retail REIT

Securities Trading Policy for Directors and Employees

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1. Definitions

This Securities Trading Policy (the Policy) relates to trading in Securities issued by Charter Hall Retail REIT by Directors and Employees of its responsible entity and of its related bodies corporate.

In this Policy:

- **Chairman** means the chairman of Charter Hall Retail Management Limited (CHRML) or in his/her absence, their nominee;
- **Charter Hall means**:
  - Charter Hall Limited and the Charter Hall Property Trust (CHPT), jointly listed on the Australian Securities Exchange (ASX) as a stapled entity, and
  - Any of their subsidiaries (whether ownership is held directly or indirectly).
- **CHRML** means Charter Hall Retail Management Limited (ABN46 069 709 468);
- **CQR** means Charter Hall Retail REIT (ARSN 093 143 965);
- **Company Secretary** means the Company Secretary of CHRML or in his/her absence, the Company Secretary of Charter Hall;
- **Dealing** includes:
  a. buying and selling; or
  b. agreeing to buy or sell; or
  c. procuring another person to buy or sell; or
  d. communicating (directly or indirectly) information that, if it were generally known, would be likely to cause another person to buy or sell.
- **Directors** mean directors of CHRML and Director means any one of them.
- **Employee** means an employee of Charter Hall, and contractors required to comply with Charter Hall's policies and procedures (e.g. long term temporary staff).
- **Inside Information** means information that is not generally available to the market that, if it were available, it would be reasonable to expect to have a material effect on the price of Securities. It is information affecting the company's financial position, strategy or operations and it includes (but is not limited to) sales figures; profit forecasts; capital expenditure; borrowings; liquidity and cashflow; significant changes in operations; management restructuring; impending mergers and acquisitions, reconstructions or takeovers; major asset purchases or sales; new products and technology, etc. In contrast, information is generally available where the information is made known in a manner that would, or would be likely to, bring it to the attention of people who commonly invest in Charter Hall Securities or financial products similar to those offered by Charter Hall.
- **Securities** includes securities, debt securities and other financial instruments, issued by CQR or any interest created over Securities by third parties, structured financial products, swaps, future contracts, contracts for differences, options, warrants, depositary receipts or other derivates over or related to the performance of Securities.

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2. Reasons for the policy

Directors and Employees are encouraged to be long term holders of Securities. However, it is important that they conduct their personal investment activity in a manner that is lawful and avoids conflict of interest between the Directors or Employees personal interest and those of CQR and/or Charter Hall.

The Policy is specifically designed to raise awareness and minimise any potential for breach of the prohibitions on insider trading contained in the Corporations Act 2001 (Cth.) (the Act) and to provide guidance to Directors and Employees when Dealing in Securities, so as to minimise the chance that Directors and Employees Dealings in Securities may be misinterpreted as Dealing while in possession of Inside Information.

3. Prohibitions

3.1 Insider trading prohibition

Consistent with the law, all Directors and Employees of Charter Hall are prohibited **in all circumstances** from Dealing in Securities **at any time** if they are in possession of Inside Information regarding CQR **whether or not there is a Trading Blackout** (refer to Section 4). In particular, this prohibition means that, if in possession of Inside Information, Directors and Employees **must not**:

a. buy or sell Securities;

b. procure someone else to buy or sell Securities, which includes inducing or encouraging those third parties to Deal; and

c. pass on Inside Information to a third party where that person knows, or ought to reasonably know, that the third party would be likely to buy or sell or procure someone else to buy or sell Securities.

Broadly speaking, **breaching any of these prohibitions may constitute insider trading**.

The prohibition extends to Dealings by Directors and Employees where they use nominees, agents, family members, companies or trust, i.e. a **Director or Employee of Charter Hall can still be guilty of insider trading even though they are not the actual person who bought or sold the Securities.**

It also does not matter how or where they obtained the information – it does not have to be from Charter Hall to constitute Inside Information.

3.2 Third parties

Directors and Employees must not Deal in securities in a company or trust that CQR is transacting with or has an interest in, where the Director or Employee becomes privy to Inside Information about that company or trust in the course of their service or employment with Charter Hall.

When dealing with advisers and contractors, it is important that Directors and Employees seek to ensure confidentiality if and when these third parties may become privy to Inside Information. Where practicable, this will be achieved by entering into a confidentiality agreement with the relevant parties or inserting a confidentiality clause in the respective agreements. However, and notwithstanding that a confidentiality agreement may have not

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been entered into, **if an adviser or contractor of CQR (including professional services providers) Deals in Securities while in possession of Inside Information, this may result in the termination of their working relationship with Charter Hall.**

3.3 No short-term trading of Securities

It is contrary to this Policy for Directors and Employees to engage in short-term trading (ie buying Securities and disposing of them within four weeks or less form the date of acquisition) of Securities, except in the circumstances outlined in section 5.2 of this Policy.

3.4 Hedging of Securities

Directors and Employees are only permitted to **buy** a derivative position (for example this Policy permits entering into a contract to **buy** a put or a call option, however not a contract to sell a put or a call option). The intention of this Policy is that it only permits hedging arrangements which are in the control of the Director or Employee rather than control of any third party. In taking out such approved positions Directors and Employees must observe the requirements of this Policy at all times.

The intention of this Policy is that it only permits hedging arrangements which are within the control of the Director or Employee rather than conferring control of any purchase or sale decision to a third party. In entering into and in taking any action pursuant to any derivative transaction, Directors and Employees must observe the requirements of this Policy at all times.

4. Permitted dealings

4.1 Dealing in Securities

Subject at all times to not being in possession of Inside Information Directors and Employees can Deal in Securities at any time except during Trading Blackouts, subject to the notification and approval procedures set below.

4.2 Trading Blackouts

There are 4 (four) designated Trading Blackouts in relation to Securities:

1. Prior to distribution announcements:
    a. The period commencing 1 December and ending on the day after the public release to the ASX, by CQR of its estimated distribution for the half year ending 31 December, and
    b. The period commencing 1 June and ending on the day after the public release to the ASX, by CQR of its estimated distribution for the full year ending 30 June; and
2. Prior to results announcements,:
    a. The period commencing 15 January and ending on the day after the public release to the ASX, by CQR of its Half year results, and
    b. The period commencing 15 July and ending on the day after the public release to the ASX, by CQR of its Full year results.

Notwithstanding these designated Trading Blackouts, CHRML may declare a Trading Blackout in respect of Securities at any time at its absolute discretion and without prior notice if considered necessary by the Directors.

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Trading Blackouts will operate automatically at the times described above. The Company Secretary will notify Directors and Employees by e-mail when a Trading Blackout commences or closes and may include a daily reminder that the Blackout is in effect in Charter Hall's internal newsletter until the Blackout period ceases.

No Dealing in Securities may occur within the Trading Blackouts without special leave being granted by the Chairman and one of the Joint Managing Directors of Charter Hall. Leave will ordinarily only be granted in situations of financial hardship and only in the event that the person involved is not in possession of Inside Information affecting Securities.

A situation may arise where Securities are held by Directors or Employees within a margin lending account and a sale of those Securities is enforced by the lending institution. If such a sale occurs during a Trading Blackout period, the Chairman will consider whether a breach of this policy has been made after considering all circumstances.

4.4 Participation in Distribution Reinvestment Plans (DRP)

In the case of DRP, the Director or Employee must only elect to participate or elect to cease participation in the DRP when they are not in possession of Inside Information. Subsequent acquisitions of new Securities by virtue of the routine operation of the DRP need not be notified (except in the case of Directors, where notice of the completed trading is required as per Clause 6.3 below) or consented to.

5. Pre-notifications, reporting and conduct of dealings

5.1 Notification of intention to Deal

When permitted to deal in accordance with this policy, all Employees Dealing in Securities must inform **either** the Chairman, an executive director of CHRML or the Company Secretary of any proposed Dealing not later than the day of the proposed Dealing, subject to the circumstances outlined in section 5.2 of this Policy.

In the case of a Director, they must also provide prior notice of any intention to Deal to the Chairman. In the case of notice by a Chairman, a notice must be sent to each of the Independent Directors.

The prior notification may be given in writing or verbally. If the notification is given verbally it must be followed by a written confirmation to the relevant person as soon as possible with a copy to the Company Secretary.

5.2 Consent for Dealing

Employees should not complete the proposed Dealing until any necessary consent is received.

Consent will not be given if there is any possibility that this Policy could be breached. No reason will be given for the grant or refusal of consent to Deal in Securities. Consent may be given in writing or verbally. Where consent is given verbally, written confirmation should follow.

In particular, consent may not be given when management accounts are available prior to the commencement of a designated Trading Blackout.

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If a person would require special leave to Deal during a Blackout Period or to engage in short term trading due to financial hardship, or as a result of securities acquired as part of an entitlement offer, or similar circumstances, it must request it, in the case of staff, from either one of the Managing Director's or in the case of a Director from the Chairman via the Company Secretary and must not complete the Dealing until authorisation is given in writing to him/her.

5.3 Reporting of completed Dealings

Once a Dealing of any Securities is completed by or for a Director or an Employee, its completion, and the date, price and volume and the name to which the purchase was made (i.e. the Employee or Director's own name, a trustee entity, a family member, etc.), must be reported within 24 hours by e-mail to the Company Secretary (and also the Chairman in the case of a Director or, in the case of a Chairman, to each of the non-executive Directors). The Company Secretary will maintain a register of Employee and Director Dealings.

Note: CQR must disclose any purchase or sale of Securities by any one of its Directors to the ASX within 5 business days from the Dealing being completed.

Directors must also inform the Chairman and/or the Company Secretary of any 'margin loans' or similar arrangements taken by them over Securities. The Board of Directors will decide whether disclosure is required in relation to margin loans taken by Director/s.

NOTE: In accordance with the ASX Companies Update of 29 February 2008, in certain circumstances the existence of 'margin loans' or similar arrangements financing securities holdings may constitute material price sensitive information.

6. Takeovers and schemes of arrangements

The restrictions in this Policy do not prevent a Director or an Employee from accepting a takeover bid or from selling Securities under a scheme of arrangement in respect of Charter Hall.

7. Breaches

Insider trading, or the perception of insider trading, by any Director or Employee, will not be tolerated. Any allegation of insider trading would be likely to have a serious detrimental impact on CQR's business. We must all be seen to be actively and diligently upholding the law and complying with this Policy.

Breaches of this Policy will be viewed seriously and may lead to disciplinary action being taken against the relevant Director or Employee. In serious cases, such action may include dismissal or removal from office. Any Director or Employee who becomes aware of a violation of this Policy should immediately report the violation to the Company Secretary.

It should also be noted that, in some circumstances, Charter Hall may be obliged to notify regulatory and/or criminal authorities of a serious breach of this Policy. Insider trading is a **crime and can result in penalties which include:**

- **For an individual – a fine of up to $220,000 and a jail term of up to five years; and for a corporation (i.e. Charter Hall) – a fine of up to $1,100,000.**

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In addition, the insider trader, and any other persons involved in the contravention, may also be liable to compensate third parties for any resulting loss.

8. Distribution of policy

Directors will be provided with a copy of this Policy upon appointment. Employees will receive a copy of the Policy upon employment.

A full copy of the Policy will be placed in the Governance Section of Charter Hall's website.

9. Review of policy

This Policy will be reviewed regularly by the Directors, having regard to the changing circumstances of Charter Hall and any changes to the Policy will be notified in accordance with the process in Section 4 above (i.e. by e-mail from the Company Secretary). If Directors, Employees or advisers have any comments or views concerning the operation or effectiveness of the Policy, they should be communicated to the Company Secretary.

10. Further information

For questions about the operation of the Policy, please contact:

Douglas Hunt
Company Secretary
Phone: (02) 8295 1033
Fax: (02) 8908 4070
E-mail: Douglas.Hunt@charterhall.com.au

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